

CONFERENCE CALL NOTES: US political and economic update

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We now see Republicans as the narrow favorites to retain the Senate (55%) odds, with the Michigan open seat posing the single largest risk to Democratic hopes of a majority; control of the House will very likely go to Democrats (85% odds).

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Fed Chair Warsh's stumbling press conference and a hawkish committee shift make a September rate hike possible, setting up a test of the Fed-White House relationship that could frame policy into 2027.

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Post-midterms, Trump will govern via executive action, not legislation, with focus shifting toward Latin America, legacy-building within the GOP, and consolidating trade and foreign direct investment (FDI) deals.

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House: Democrats Heavily Favored, But No Wave

Democrats are very likely to flip the House (85% odds). The most probable outcome is a net gain of 11–20 seats — a comfortable but not large majority. Two structural factors cap Democratic upside: they are already near the majority threshold, limiting available pickups, and Republicans netted a 5–8 seat

advantage in the most recent redistricting cycle. California was the largest Democratic gerrymander (plus five seats); Texas and Florida combined were roughly plus seven for Republicans.

A wave scenario — defined as Democrats flipping more than 20 seats — carries 10% odds. That outcome requires Trump's approval to fall below 36% (currently 38%) and Democrats to extend their generic ballot lead to 8 points or more (currently approximately 6.5 points). Sustained gas prices above \$4 per gallon and a continued Strait of Hormuz closure are the most likely catalysts for that deterioration.

Democratic candidate quality in House races has a neutral effect — neither a significant asset nor a liability. Highly progressive nominees are concentrated in safe Democratic districts and pose limited direct electoral risk, though they may weigh on the party's national brand with moderate voters.

Senate: Republicans Barely Favored, Michigan Is the Hinge

We have reduced our odds of Republicans retaining the Senate from 60% to 55% — nearly a coin flip. Democrats need to hold all their own seats and pick up four Republican seats to reach 51. (Please see The Senate race is now nearly a coin flip , 5 August 2026.)

Democratic pickup opportunities, in rough order of likelihood: North Carolina (easy), Maine (likely, given the state's Democratic lean), Texas (plausible given Republican nominee Ken Paxton's failure to consolidate his party), Alaska, and Iowa. Ohio is also on the map but more difficult.

The critical vulnerability is Michigan. With incumbent Gary Peters retiring, the Democratic primary was won by Abdul El-Sayed — a progressive candidate who sits substantially left of the median Michigan Democrat. El-Sayed is currently trailing Republican Mike Rogers in available polling. If Michigan becomes a true toss-up rather than a lean-Democratic seat, Democrats need an additional pickup in a Trump-won state to compensate, making the math materially harder.

Current Democratic polling strength in red states likely reflects an enthusiasm peak. Reversion to partisan baseline in states that backed Trump by 10–14 points in 2024 is the expected trajectory as voters start paying attention to these races after Labor Day.

Post-Midterms Policy: Gridlock, Executive Power, and the Western Hemisphere

Under the basecase of a split Congress, legislative output will be minimal. Must-pass items — government funding, debt ceiling (spring 2027), and defense authorizations — will get done. Narrow deal space exists around Democrats trading delays to Supplemental Nutritional Assistance Program (SNAP) cuts and clean energy tax credits for Republican defense spending increases, but this is a stretch goal, not a basecase.

Gridlock pushes authority back to the White House. Trump governs by preference through executive action and is comfortable with that dynamic. Key executive-branch priorities in the final two years will likely be:

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Foreign policy: Large-scale military interventions are unlikely to be repeated. More targeted, singular uses of force are the model. Geographic focus shifts to Latin America and the Western Hemisphere, with Cuba the most likely next focal point. Secretary of State and Acting National Security Advisor Marco Rubio's personal priorities are a significant driver of this orientation.

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Trade and investment: Trump will use executive tariff authorities — including Section 338 threats — to enforce and solidify deals struck in the first term, including market access agreements and FDI commitments in semiconductors and critical sectors.

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GOP legacy: Trump's focus is on ensuring successors are MAGA-aligned, not on legislating. He is unlikely to endorse a 2028 presidential candidate early; an 11th-hour endorsement, if any, is the expected pattern.

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Fiscal trajectory: Divided Congress produces stasis. The deficit continues expanding at roughly its current rate. A downside risk is that Democrats use new leverage to block scheduled Medicaid, SNAP, and Inflation Reduction Act (IRA) cuts from last year's reconciliation bill, widening the deficit relative to current baseline in 2027–28.

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For more, see Trump's executive actions and legacy-building will dominate post-midterms , 2 June 2026.

The Fed: September Is the Flashpoint

Fed Chair Kevin Warsh's first press conference dented market confidence. Since then, the bulk of the Federal Open Market Committee (FOMC) has signaled a hawkish turn — acknowledging solid labor data and elevated inflation risk. Statements and data are consistent with a September rate hike based on historical patterns.

September carries extra institutional weight: the subsequent meeting falls less than a week before the midterm elections, making an October move extremely unlikely. If the committee does not act in September, it is effectively betting on calm through December.

Two additional pressure points complicate the picture:

1.

Yen carry trade risk: Treasury Secretary Bessent is pushing the Fed to ease access to a crisis lending facility that would allow Japan to post Treasuries as collateral rather than sell them to defend the yen. Activating this would require two of three votes on the relevant committee — Warsh cannot do it alone.

2.

SVB task force report: An upcoming report is expected to assign blame to former Fed Vice Chair for Supervision Michael Barr and potentially San Francisco Fed President Mary Daly, potentially triggering renewed calls from MAGA circles for their removal.

Warsh's stated concern about becoming "Arthur Burns 2.0" suggests he will likely support a hike if inflation data does not improve materially. A scenario in which Warsh dissents against a hike — a signal of "revolutionary change" — is a tail risk. The broader concern: elevated rates, deficit financing, and structural fragmentation pressures create a tail risk that interest payments become a material financial stability factor in 2027 and beyond.

Iran: Escalation Unlikely Near-Term, But Risk Persists

Eurasia Group does not expect military escalation before mid-September. The calculus against escalation includes: regional pushback, Trump's declining demands signaling Iranian leverage, depleted US offensive and defensive stockpiles (limiting any escalatory campaign to weeks), and a constrained

target set. Any short-term deal will be shaky and tenuous. Escalation risk rises toward year-end and into early 2027. (For more, please see De-escalation likely as US leans toward temporary fix to open strait , 4 August 2026.)

A split Congress — with Republicans retaining the Senate — provides Trump modest insulation from war powers resolutions and funding restrictions. Full Democratic control of both chambers would pose a materially greater constraint.

Key Watch Items

1.

Trump approval and generic ballot: A drop below 36% approval and/or a Democratic generic ballot lead exceeding 8 points would shift House odds toward a wave and put Senate odds in play.

2.

Gas prices: Sustained prices above \$4/gallon heading into September are the most direct macro threat to Republican performance.

1.

Michigan Senate race: Whether Democratic voters consolidate behind El-Sayed and whether the race stabilizes as a lean-Democratic seat or remains a true toss-up is the single most important Senate variable.

2.

September Fed meeting: Watch for inflation data in the next few weeks, Warsh's Jackson Hole speech, and whether the committee coalesces around a hike — or whether Warsh dissents.

3.

Yen carry trade and Treasury market stability: Progress or failure on the Fed facility modification and any signs of forced Treasury selling by Japan.

4.

Iran/Strait of Hormuz: Whether a durable deal framework emerges or whether the situation deteriorates toward year-end escalation.

What Clients Are Asking

Iran escalation timing and congressional constraint: Clients asked whether a likely Democratic House majority would accelerate Trump's timeline for military action in Iran. Republicans retaining the Senate provides sufficient insulation for now, and Trump's near-term focus remains on reopening the Strait and securing a nuclear framework — not on gaming out post-midterm congressional constraints.

Warsh and inflation thresholds: Clients pressed on what inflation level Warsh needs to see to support a hike and how far he might bend to White House pressure. A path to 3–3.25% core inflation is not sufficient — the committee needs convincing evidence of a trajectory toward 2% — and Warsh will likely support a hike unless data materially improves to avoid being seen as politically compromised.

Progressive candidates and Democratic electability: Clients asked whether El-Sayed's primary win in Michigan and the broader rise of progressive nominees affect predictive models and polling reliability. The Michigan primary had a massive polling miss (El-Sayed led by double digits in late polls, won by under one point), and differential non-response is an ongoing polling problem. But polling issues are structural and not uniquely worsened by the progressive wave.

2028 Democratic presidential race: Clients asked whether an El-Sayed general election win would push the party toward a progressive 2028 nominee. It would — a Michigan win would substantially reduce electability concerns about progressives in swing states — but if he wins by less than the national Democratic margin it would complicate that narrative.

US fiscal trajectory under divided government: Clients asked whether gridlock produces consolidation or continued deficit expansion. Near-stasis is the base case, with downside risk from Democrats successfully blocking reconciliation-bill spending cuts, which would widen the deficit relative to the current baseline in 2027–28.

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